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YOU MAKE IT POSSIBLE.

Dear Readers

It is now more than a year since the Swiss National Bank abolished the minimum exchange rate of CHF 1.20 per euro. While the Swiss economy was well under way beforehand, this decision brought a marked slowdown. Numerous Swiss enterprises which work with customers all over the world as we do were forced to cut jobs or consider relocating parts of their production operations to another country – a situation many companies still face.

Of course, the sudden elimination of the guaranteed minimum rate of the euro affected us, too, posing major challenges. Thanks to our prudent business policy, we were able to react from a strong position and to rely, once more, on our proven partners and suppliers as well as our employees. In cooperation with them all, we took suitable measures to avoid negative consequences for our customers, our injection moulds and the services we provide.

This enabled us to close the financial year 2015 in a very solid position, in spite of the unfavourable currency environment in the euro and dollar areas. Having invested yet again in machines, training and innovation, 15 months after the Swiss National Bank's decision, we are now perfectly well prepared for the future.

We know that we owe this success to you, our valued customers. Your confidence in us and your loyalty to Otto Hofstetter AG make it all possible and motivate us to strive relentlessly for precision, innovation and reliability.



Cover.

The family-run enterprise Resilux NV has been ranked among Europe's five most important producers of PET preforms and bottles for 2016.

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Stani Spörri

Member of the management of Otto Hofstetter AG

AGAINST THE TIDE.

Resilux NV ranks among **Europe's five biggest producers of PET pre-forms and bottles.** The Belgian family enterprise is represented in seven countries and employs more than 600 people around the world. **Resilux has been relying on moulds from Otto Hofstetter AG for nearly 25 years.** The company is managed by Peter and Dirk De Cuyper. The latter gave the following interview to *inform*.

Mr De Cuyper, your website states that “Resilux is one of the leading enterprises of the PET packaging industry”.

What does this mean in concrete terms?

Dirk De Cuyper: Resilux is a family business: it was founded in 1994 and has been quoted on the Euronext stock exchange in Brussels since 1997. The company is based here in Wetteren. We produce in our home country of Belgium, as well as in Spain, Russia, Greece, Switzerland, Hungary and the USA, and have more than 600 employees working around the world. Producing nearly 5 billion preforms and almost 500 million PET bottles annually, Resilux is one of the world's biggest suppliers in this field. The range comprises preforms weighing from 10.5 to 121 grams. Our customers come from the foodstuffs, cosmetics and chemical industries.

What does Resilux mean?

This is rather a funny story, because the name doesn't actually have anything to do with plastics and was developed for an idea in the real estate sector. It's short for “Résidences luxurieuses”.

How did the plastics business come into being?

My father set up Thovadec Plastics NV back in 1960 and sold it in 1987. During this time I underwent technical training and worked at Netstal in Switzerland for several years. After five or six years – my father had sold Thovadec in the meantime – we resolved to start from scratch. We recruited employees from my father's old team and founded Resilux. The original intention was to build machine systems, install and then sell them. However, the summer of 1994 was a hot one and we started making preforms and bottles. Resilux progressed at a great rate, not least thanks to our strategy of serving supposedly less attractive markets. We were listed on the stock exchange in 1997, which was an important step for the further development of the enterprise. If I had the choice once more, I'd do the same all over again.

“WE ARE CONVINCED OF BEING ABLE TO FIND BETTER SOLUTIONS ON THE BASIS OF PROVEN METHODS AND TECHNIQUES.”

Dirk De Cuyper, Managing Director of Resilux NV

What, do you think, is the reason for your success?

First of all, it is our philosophy to take better advantage of existing technologies. We are convinced of being able to find better solutions on the basis of proven methods and techniques. This results in an inspiring mix of ideas when combined with the young generation in our company. Secondly, we operate identical systems in all our production locations. This gives us maximum flexibility and ideal conditions for service, repairs and

training. Thirdly, good diversification is important. At Resilux, the volume of any single customer never exceeds five per cent of our output in that country. Equally varied are our customers and our range of products, which comprises more than 2000 combinations. Fourthly, we are committed to investing in our personnel.

“AT RESILUX, THE VOLUME OF ANY SINGLE CUSTOMER NEVER EXCEEDS FIVE PER CENT OF OUR OUTPUT IN THAT COUNTRY.”

Dirk De Cuyper, Managing Director of Resilux NV

According to your figures, the number of preforms sold has been growing steadily since 2005, while the number of bottles has changed only a little. What do you think the future holds for the production of PET bottles?

The normal production of bottles no longer has a future with us. Transport and logistics are so elaborate and expensive these days that this business can no longer be run at a profit. Today, you can only be successful with small production operations in niche markets. The figures in the annual report refer to production at our customers' locations. Here, things look different. The future belongs to in-house or wall-to-wall production.

The Chairman's Statement for 2014 says: “We do it better, cheaper and faster”. In what areas can you improve?

“Cheaper” is not possible any longer if we only consider the price of the preforms alone. Looking at the entire value-creation chain, a perfect preform and a good service can make the bottle or the end product cheaper. I see only few chances in terms of production speed. When I started, the output capacity of the blowing machines reached 6000 pieces per hour. Today, we are at 80,000 to 100,000 bottles per hour. To me, “faster” now means flexibility and availability; in other words, to be within reach of the customer at all times. “Better” refers to the quality of the product and service. If both factors are at the highest level, the customers are the ones who are “faster”, which eventually pays dividends as well.

In what branches of the industry or application areas can PET packaging articles still be used?

From an overall point of view, we PET producers are facing three competitors: glass, aluminium and cardboard. If we want to open up new branches or fields, we must be able to meet the specific requirements in terms of density, chemical resistance, robustness and other aspects. A whole new market will open up if we succeed in improving one characteristic. Seen from this angle, many things are still possible.

"RESILUX PROGRESSED AT A GREAT RATE, NOT LEAST THANKS TO OUR STRATEGY OF SERVING SUPPOSEDLY LESS ATTRACTIVE MARKETS."

Dirk De Cuyper, Managing Director of Resilux NV



In 2014, the more than 600 employees of Resilux produced nearly 5 billion preforms and approximately 500 million bottles worldwide.

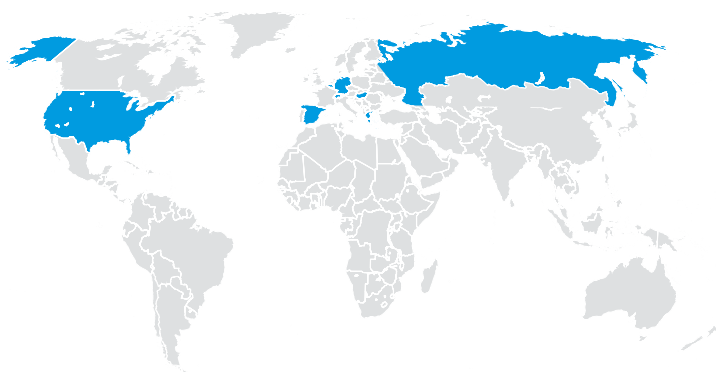
What are the most remarkable results of your development department?

That is difficult to define. We don't have a specific development which turned into a real hit. Research and development are a constant process in our daily business – small improvements here and minor adaptations there. Innovation happens all the time. In this context, I would like to emphasise that we make semi-finished products. If those concerned with the next processing step don't understand their job one hundred per cent, the potential of our products is not exploited. To this extent our means are limited.

Your product range includes a surprising number of barrier solutions with designations such as Eco, Bio or ResiGrind: what goals lead to this type of innovation?

We are absolutely convinced of the recycling qualities of PET. The biggest problem is the additives, because PET is basically a very clean and environmentally friendly material. During processing, however, it is contaminated with colour or barrier or other added substances. This prompted us to look for ecological additives. The above-mentioned products are the first developments and more will follow.

Countries with Resilux production locations.



In what areas do you see possibilities to further improve the ecological footprint of plastic packaging products?

My dream is to make a bottle which remains a bottle forever, i.e. keeping the raw material so pure that it will always be suitable for onward use. Apart from this, it would be great if the bottle's wall thickness could be further reduced while retaining good stability, and if the preforms could become smaller. Other targets includes reducing overall energy consumption and using standard compressed air in the blow-moulding process. Thinking outside the box is important in my opinion. Changes in the plastic material, for example, could open up new perspectives. However, in view of the total market of 80 million tonnes, the bottles business is much too small, insofar as we cannot assume that anyone is willing to invest money.



The Resilux range offers more than 2000 combinations in a wide variety of colours.



What's the future of PET?

In the field of PET today, I believe that the limits have been reached and further growth is hardly possible. Minor growth rates here and there are still conceivable, of course. In Europe, we're perhaps talking about two per cent. This is why a very intensive consolidation is under way here. Acquisitions are taking place increasingly among both raw material suppliers and preform/bottle producers. There are currently still four or five big suppliers in Europe. Fortunately, Resilux is one of them. Hardly anything is likely to shift before fundamental changes occur as a result of radical innovations. On other continents, the outlook is somewhat different, of course.



RESILUX NV, Damstraat 4, 9230 Wetteren, Belgium

www.resilux.com

Founded in 1994

Production locations in Belgium, Spain, Russia, Greece, Switzerland, Hungary and the USA

PET preforms and bottles for the foodstuffs, cosmetics and chemical industries

Resilux stands for the highest quality. To what extent are your products still in demand?

We produce goods for everyday use. And we survive because these goods are needed time and again. We strive to improve the quality of these products on an ongoing basis. Here at Resilux we don't refer to this as innovation, but as modification. One thing is clear: if the everyday goods didn't exist, we would be facing a very major challenge. Consequently, quality isn't a question of demand, but an aspect of survival. This is why we invest between EUR 15 and 20 million in the optimisation, or in other words, in the quality of our products.

What role does Otto Hofstetter AG play in this?

For the last 24 years, Otto Hofstetter AG has been supplying us with moulds which enable us products of the highest quality. These moulds are very precise, have a long service life and run reliably. But this is only one aspect. Even the best car is useless in the hands of a bad driver. The same is true of injection moulds. It is in this respect that I appreciate the cooperation with our Swiss partner. Otto Hofstetter AG has always given us the opportunity to take advantage of its know-how and to train our personnel.

In what areas could Otto Hofstetter AG improve?

In terms of availability. The company is still too Swiss. At Resilux, we can usually find the solution ourselves when it comes to technical issues. But I can imagine that other customers aren't

so pleased when the person on the switchboard answers that the person you want to speak to happens to be out for lunch. In my view, availability is key these days, especially at a company that is as successful internationally as Otto Hofstetter AG. As I see it, the Swiss mentality is a little too evident here.

"OTTO HOFSTETTER AG HAS ALWAYS GIVEN US THE OPPORTUNITY TO BENEFIT FROM ITS KNOW-HOW."

Dirk De Cuyper, Managing Director of Resilux NV

Resilux and Otto Hofstetter AG are both family-run businesses. How does this influence cooperation?

Our good relationship no doubt has to do with the fact that both enterprises are managed by families. Short communication channels, few regulations and the mutual interest in a quick solution make our cooperation very efficient and pleasant. This is also the reason why even the strong Swiss franc

never became a decisive criterion. The worst investments are always the cheapest and ill-conceived ones.

What will Resilux look like in 2025?

If we spread out geographically we can achieve good growth with our existing range of products. There is still much room to exploit, for example in Eastern Europe and Russia. Whether growth is achieved through acquisitions or new works remains open. My personal preference, however, is Africa. It is still a little early, but in some years' time, no doubt, Africa will be a market with substantial opportunities. Another option would be South America, which could be accessed through our location in Spain. And last but not least, we could further expand our presence in the USA. These objectives, however, can also be met if we invest in our workforce.

Mr De Cuyper, many thanks for this interview. We wish you every success in the future.



Between 2004 and 2014, Resilux increased its production of PET preforms from 2067 million to 4943 million pieces.



OH- XTREME® ENSURES A LONG USEFUL LIFE.

Mechanical components of injection moulds are exposed to very high strains. Otto Hofstetter AG has developed OH-Xtreme® to reduce mould wear substantially. OH-Xtreme® has been ensuring trouble-free operation and a long useful life of the injection moulds from Uznach for more than 10 years.

The first generation of moulds from Otto Hofstetter AG was manufactured in the early 1960s. It was standard practice in those days to rely on lubricants such as oil or grease to minimise wear of excessively strained, hardened surfaces. In spite of this protective measure, the surfaces in question were damaged very quickly, which is why they were provided with a chromium layer. While this reduced wear markedly, it had no effect at all on the level of maintenance required.

OH-XTREME® COMBINES OUTSTANDING SLIDING PROPERTIES WITH HIGH HARDNESS.

Golden times.

New coatings became available towards the end of the 1990s. They not only promised better properties in terms of abrasive wear, but also had a positive influence on the ejection of products from the injection moulds. The TiN (titanium nitride) coating, for example, which was characterised above all by its attractive golden shine. This coating was also applied in the moulds from Otto Hofstetter AG for a long time, but a relatively high maintenance was required all the same.

Investment in own development.

At the beginning of the new millennium, the management of Otto Hofstetter AG resolved to find or develop a coating which featured all the positive characteristics of the TiN coating, but which was also much more service friendly. An agreement was reached with one of the world's leading coating enterprises to develop a new process within a year. This target was reached in 2003. Otto Hofstetter AG was able to present its own newly developed coating under the name of OH-Xtreme® and use it in its moulds.

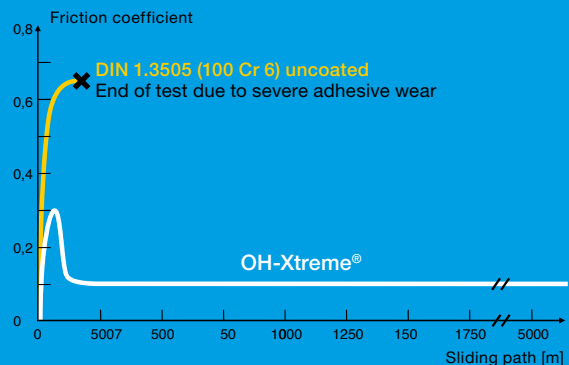
High versatility.

It was the coating of sliding surfaces with OH-Xtreme® which now enabled the production of high-grade plastic articles, for example preforms and other foodstuffs packaging, without resorting to lubricants. OH-Xtreme® combines outstanding sliding properties with high hardness. The special coating protects against seizing and fretting corrosion, and allows the dry running of moving parts such as ejector pins, slides and cores. OH-Xtreme® is an amorphous metal-carbon layer which can be identified by its dark colour.

Efficient and functional protection.

Thanks to their multi-lamellar structure, phases rich in tungsten carbide and rich in carbon alternate within a few layers of atoms. This results in a very low dry-friction value of 0.1 to 0.2, which has a very favourable influence on friction behaviour. Wear and fretting corrosion are almost completely eliminated. Ideally suited to injection moulding processes, the layer prevents the seizing of highly strained components and guarantees impeccable performance even in dry operation.

Dry-cycling behaviour of OH-Xtreme®



After a short increase – the running-in – the dry-friction value is reduced to a minimum thanks to the coating of the parts with OH-Xtreme®.

High output confirmed.

With the first 72-cavity mould delivered featuring the OH-Xtreme® coating, more than 15 million cycles were run straight off without time-consuming maintenance work and without evidence of wear in the coated mould parts. Several hundred moulds have been delivered to customers all over the world since Otto Hofstetter AG introduced this technology. A great deal of positive feedback confirms the generally pleasing results established with the first mould.



EVERYTHING TO DO WITH PLASTICS.

Pongsak and Anut Mongkolrattanachart manage the Apex Plastech Co. Ltd., which has become one of Thailand's major players in the plastic packaging sector within a short period of time.



Pongsak and Anut Mongkolrattananachart are in charge of Apex Plastech Co. Ltd. Together with their father, the two young entrepreneurs manage the company in Bangkok which belongs to the Apex Group. The business was founded in 1985 and produces top-quality plastic products for various branches of the industry. To this end, it relies on moulds from Otto Hofstetter AG.

Mr Mongkolrattananachart, Apex Plastech Co. Ltd. is a member of the Apex Group. How is this group structured?

Pongsak Mongkolrattananachart (PM): The group was founded by our father in 1985. It is based in Bangkok and now consists of eight subsidiaries. Among them are Apex Plastech Co. Ltd. and Apex Foods Co. Ltd., Apex Toys Co. Ltd. and One Co. Ltd., which specialises in IT solutions.

Could you give us some facts about your company?

Anut Mongkolrattananachart (AM): Our enterprise has its roots in the toy industry. Various considerations led to the founding of Apex Plastech Co. Ltd. in 1992. At present, we employ a total of 700 people and make packaging products, industrial parts and household items by injection moulding and blow moulding.

What circumstances led to the founding?

PM: The opening up of the Chinese market meant new perspectives for us in various respects. Toys have a very short life cycle. We have to change our products every three months. Things are different when you produce plastic parts for the industrial sector. Here, the production cycle usually extends over several years and allows you to specialise.

What does this mean in concrete terms?

PM: We've given up our original activity. Instead of producing toys, we now import them from China and Japan. As a pure trader, we can offer our customers a wider choice and react to new trends more quickly. We took advantage of the resulting free capacity to start making plastic packaging items. This was the start of Apex Plastech Co. Ltd.

What did this changeover mean?

AM: Basically, the step wasn't a very big one. The raw material and the production processes are very similar. Marketing was what required the greatest effort. We had to open up new markets and familiarise ourselves with the relevant rules of the

game. Our experiences from the toy trade were of little use. On the production side, good quality was a must right from day one. This was the reason why we got in touch with Otto Hofstetter AG.

Apex PlasTech

Apex Plastech Co. Ltd.

634, Bangkhoontian-Shinetalay Rd.

Thakarm, Bangkhoontian, Bangkok 10150 Thailand

www.apexgroup.co.th

Mould manufacture, injection and blow moulding techniques, assembly and screen printing

Plastic packaging for foodstuffs, parts for the automotive and other industries

How significant is the quality difference?

PM: In the toy industry, the imposed demands are entirely different. The useful life of toys is so short that quality doesn't matter very much and therefore doesn't count. Quite the contrary applies in the packaging and automotive industries, for example. If you want to be successful in these fields, you have to work at the highest level in terms of quality.

According to Pongsak Mongkolrattanachart, Thailand's market isn't ready for co-injection technology.



Anut Mongkolrattanachart sees clear signs of further growth in Thailand.

Which branches of the industry do your main customers come from?

PM: Right now, our focus is on all possible packaging products for the foodstuffs and other industries where injection and blow moulding techniques are required.

How is the home market developing?

AM: Generally speaking, the signs in Thailand are pro growth. The pace of the last few years will continue, but our branch enjoys above-average growth. Our country is only just beginning to discover the benefits of plastic packaging, and the prospects, therefore, are positive.

PM: We want to take advantage of the trend in the best possible way. We see ourselves in a pioneering role for Thailand and are introducing products and processes from Europe. A striking example is in-mould labelling (IML). We want to be innovators, not copyists.

What is the outlook in terms of other technologies?

PM: We have also tested co-injection technology. However, the market in Thailand isn't ready yet. In spite of the thrill of innovation, the price is also always a decisive criterion for us, of course. You must always strike the right balance between innovation, quality and price.

"WE SEE OURSELVES IN A PIONEERING ROLE FOR THAILAND AND ARE INTRODUCING PRODUCTS AND PROCESSES FROM EUROPE."

Pongsak Mongkolrattanachart

What other markets apart from Thailand do you supply with your products?

AM: We currently have customers in India and Vietnam. The Vietnamese market is growing very rapidly – it is huge and only starting to develop. As partners of a major repacker of silicone, we are well positioned. In India, we have to cope with

certain challenges. Transport is difficult on the one hand, and the understanding of quality on the other. We're working on both issues.

You offer your customers good quality and early delivery at marketable prices. How do you manage?

PM: With a good infrastructure and perfect moulds. This secures the desired quality and the necessary reliability. In the long term, this is the basis on which to reduce costs, which eventually has a positive effect on the price.

How profitable is quality?

AM: Anyone economising on the quality of their infrastructure is only thinking of short-term results. We could never sleep peacefully if we had other machines and other moulds. Seriously: reliability, useful life and precision guarantee a longer operational life, lower maintenance and repair costs and lower rejection rates.

Is this why you rely on moulds from Otto Hofstetter AG?

PM: Quite clearly! We started carefully with one mould. Its performance convinced all our co-workers completely. The mould ran perfectly right from the start. Nothing needed to be adjusted or modified. The production time for four moulded parts was reduced from 42 seconds to 10 seconds – an enormous difference with a great improvement in terms of quality.

What is your company's financial outlook?

PM: Our break-even point depends on the volume, the sales and the contracts we can win. We try to keep the time frame below five years at all times. Three years would be the optimum.

You manufacture moulds yourselves. When do you rely on Otto Hofstetter?

PM: It depends on the quality requirements. If toys are concerned, we fall back on our own manufacturing processes. If ISO and other high standards and demanding contracts have



Apex Plastech Co. Ltd. is one of the major producers of silicone cartridges in Thailand.

to be complied with, we rely on the moulds from Otto Hofstetter AG. They're indispensable for us when it comes to quality.

What could Otto Hofstetter AG improve?

AM: A service team stationed in Thailand would be great. After the first mould, a few more have been added in the last years. Regular maintenance by good technicians is becoming ever more important to us. Another solution would be for Otto Hofstetter AG to train a team of technicians from within Apex.

Apex Plastech Co. Ltd. also produces closures for bottles.

What are the prospects in this area?

PM: As in many other Asian countries, the water business is growing at an enormous rate. This attracts numerous enterprises, which in turn intensifies competition. Our production quantities are still manageable at this point in time. However,

we plan to expand the business to include preform production. As soon as we have concluded a substantial contract, we will consider building a large new facility at another location. A strong partner will be needed for this purpose.

What are your aims in the next 10 years?

We intend to be a world-class producer of plastic parts and increase the demand for our quality. We also plan to open up new markets in the near future and to become established in other branches of the industry, for example in medical packaging. First steps in this direction are already in progress. Our slogan is: "Everything to do with plastics." This means that we're always open to new ideas and opportunities.

Many thanks for this interview and our best wishes for the future.



"IF ISO AND OTHER HIGH STANDARDS AND DEMANDING CONTRACTS HAVE TO BE COMPLIED WITH, WE RELY ON THE MOULDS FROM OTTO HOFSTETTER AG."

Pongsak Mongkolrattanachart

GOOD ENOUGH TO EAT.



Japanese researchers have discovered a new strain of bacteria, *Ideonella sakaiensis* 201-F6, which is said to be able to decompose plastics. In the current discussion about the decomposition of plastic waste, the discovery could be a milestone in the recycling of PET.

According to the study “The New Plastics Economy”, published by the World Economic Forum last January, the production of plastics increased from 15 million tonnes in 1964 to 311 million tonnes in 2014. In view of the material’s versatility, the authors of the study expect the quantity to double again within the next 20 years. The consumption by the packaging industry is currently 26 per cent.

Global production of plastics: 1964 and 2014.

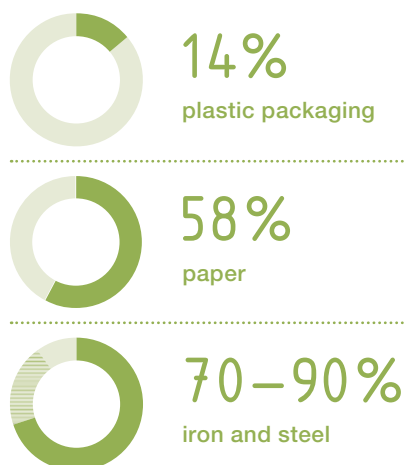


Between 1964 and 2014, the production of plastics increased from 15 million to 311 million tonnes.

Low recycling rate of plastics.

Although the first official recycling symbol was introduced 40 years ago, the study claims that a mere 14 per cent of plastic packaging products are collected for recycling purposes. This is a very small quantity compared with the rates of 58 per cent for paper or 70 to 90 per cent for iron and steel.

Comparison of recycling rates.



Only 14 per cent of all plastic packaging items produced worldwide are recycled.

No option for the future.

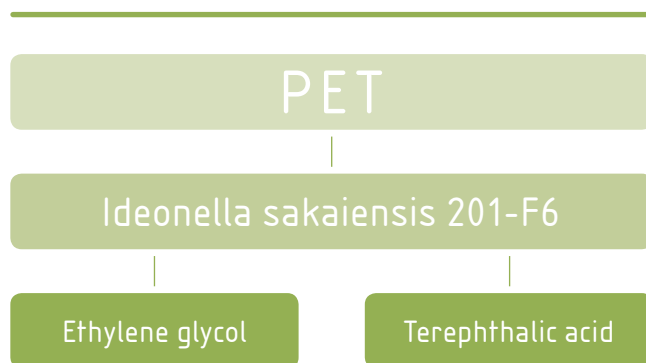
Considering the strain on the world’s oceans, a change is very urgently required. Based on available figures, more than 150 million tonnes of plastic are currently floating in our seas. Reckoning with the usual development numbers, there’s likely to be one tonne of plastic for every three tonnes of fish by 2025. By 2050, the total weight of plastic will exceed that of fish.

Bacteria are a ray of hope.

In view of such scenarios, the report on the discovery of a strain of bacteria that feeds on plastic is a ray of hope. *Ideonella sakaiensis* 201-F6 could be very useful in decomposing plastic residues, as claimed by its discoverers at the Kyoto Institute of Technology. It is said that the microorganism is able to fully utilise PET material.

PET as a foodstuff.

The researchers discovered two enzymes in the bacterium *Ideonella sakaiensis* 201-F6 which are responsible for the decomposition of PET. In comprehensive experiments, they proved that the bacterium is able to adhere to smooth surfaces. One of the enzymes then breaks down the chemical bonds of the plastic, while a second enzyme splits the monomers ethylene glycol and terephthalic acid. According to the Japanese researchers, *Ideonella sakaiensis* 201-F6 uses both substances as an energy source.



The discovered bacterium *Ideonella sakaiensis* 201-F6 decomposes PET into the monomers ethylene glycol and terephthalic acid.

Microorganism with great potential.

Professor Uwe Bornscheuer from the University of Greifswald in Germany writes in an article in the *Science* magazine that the newly discovered microorganism could be used to recycle PET in an environmentally friendly manner. Now that the involved enzymes are known, however, it would be possible in principle to develop processes to isolate the monomer terephthalic acid and to reuse it for the synthesis of PET. This, says Professor Bornscheuer, would considerably relieve the pressure on the environment, since you could produce plastic without using crude oil.

The researchers at the Kyoto Institute of Technology have considerable faith in *Ideonella sakaiensis* 201-F6. How and where the bacterium will apply its qualities for the protection of the environment remains to be seen. But it is at least a silver lining in the issue of plastic waste.





Urs Knoepfel of Knoepfel AG in Walzenhausen (Switzerland) and Otto Hofstetter Senior started the cooperation in 1977.

A UNIQUELY SUCCESSFUL PAIR.

It was by a lucky chance that Otto Hofstetter AG and **Knoepfel AG** got together in 1977. The two family-managed Swiss companies have been an open, **future-oriented and reliable team** ever since. **Urs Knoepfel** and **René Thoma**, CEO of Knoepfel AG, explain what characterises the long-standing partnership.



René Thoma has been managing the Swiss company for four years and fully intends to continue the good cooperation with Otto Hofstetter AG.

The Swiss enterprise based in Walzenhausen was set up in 1962. It never made any own-brand products and sees itself as a pure custom manufacturer. Relying on professional competence and state-of-the-art equipment and machinery, Knoepfel AG produces components complying with Swiss precision standards for its customers from the aviation and aerospace industry, the automotive and transport sectors as well as industrial production in general. Right now, Knoepfel is about to secure a major order covering the production of parts for the new Swiss helicopter Marenco. Should the aviation segment grow markedly in the longer term, the intention is to also proceed professionally in this niche and build up a solid partnership. It is the management's firm conviction to also continue the manufacture of mould and die components and thereby the 40-year-old cooperation with Otto Hofstetter AG in the same proven manner.

A stroke of luck – who will help me?

Ever since the start of the fruitful partnership, Knoepfel AG has been making parts for the PET moulds and nozzle holders for hot-runner systems. It all started in 1977 when, during a meeting of the trade association, Otto Hofstetter Senior asked no one in particular: "Who will help me?" The American Continental Can Company had entrusted him with an order for 12 moulds with 16 cavities each for Coca-Cola: an order he could not have coped with unless he received support.

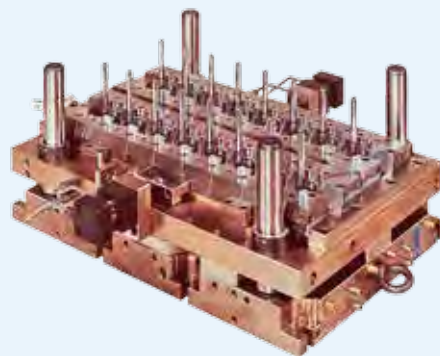
"TO DO ONE THING WITHOUT NEGLECTING THE OTHER."

Urs Knoepfel

It didn't take long for Otto Hofstetter Senior and Urs Knoepfel to reach an agreement. Both entrepreneurs had the same perception in terms of quality and cooperation. To sign the contracts, they met at the "Alpine barn" in the basement of Otto Hofstetter AG. This is how the long-standing relationship, based on the true spirit of partnership, became reality. René Thoma sees one essential reason for the successful and lasting cooperation: both partners don't just talk about the same issues, they also do things the same way. "Otto Hofstetter AG is an important partner for us. The continuity is unique," says Urs Knoepfel. To avoid mutual dependence, we agreed on a healthy order volume right at the start, and have been progressing at this level ever since.

THE BASIS FOR A GREAT STORY.

In 1977, Otto Hofstetter AG was awarded the contract to build 12 moulds for the production of PET preforms. The order was placed by the American Continental Can Company, which was looking for a qualified mouldmaker on behalf of Coca-Cola. Supported by Knoepfel AG, Otto Hofstetter AG won the order. With this transaction, the foundation was laid for a very promising business endeavour and for a lasting friendly cooperation between two Swiss family enterprises.



The first PET mould of 1977 with 16 cavities for two-litre bottles, a preform wall section of 4 mm, and a weight of 62 grams.

Quality and punctual deliveries.

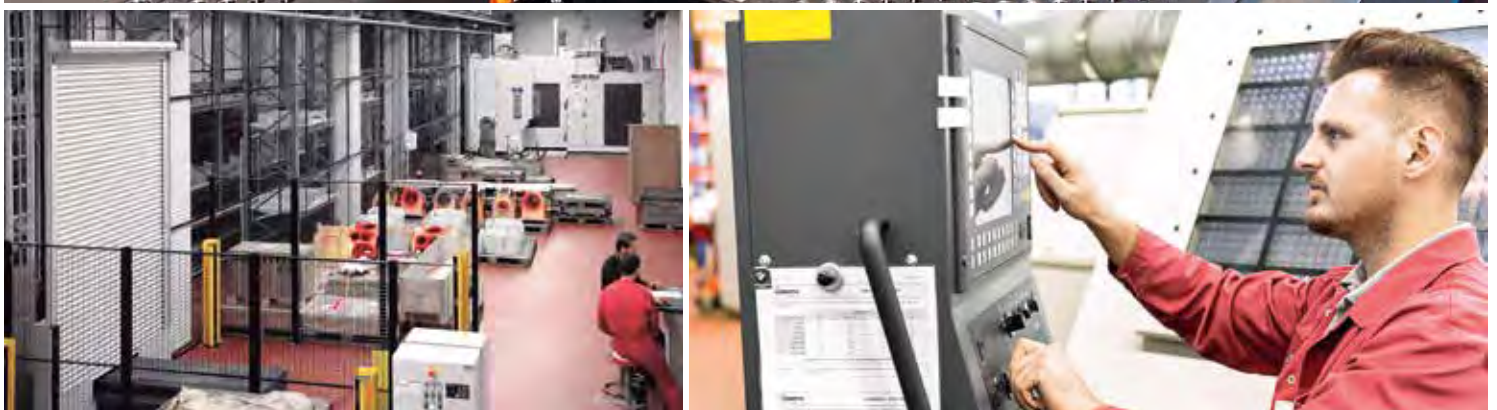
In spite of the strong Swiss franc Knoepfel AG doesn't have its back to the wall. For existing customers, it isn't just the price that matters, but also reliability, precision and consistency. The family enterprise takes this into account and has expanded its inspection and testing department in the area of automated measuring. Customers all over the world appreciate the resulting consistent quality.

The company has excellent prospects, especially where particularly demanding orders are concerned, and is confident about its

future. In the aviation industry, for example, zero-defect quality is a must. Knoepfel AG also has an untarnished reputation with its partner in Uznach. Typical Swiss attributes such as quality, reliability and punctual delivery pay dividends to the fullest extent.

One step ahead.

The Knoepfel management has done its homework properly and guided the company in the right direction. In the 1990s, it decided on unmanned production and implemented these plans in the years after. Today, a state-of-the-art, automated machining line can be found in Walzenhausen. The challenge



of the future is to produce parts safely and cost-effectively. Otto Hofstetter AG and Knoepfel AG continue to discuss design and machining adaptations and put them into practice. Thus, the products retain their high quality, long useful life and competitive price. Ongoing optimisations in design and production processes that guarantee consistently high quality are the objective of this exceptional partnership.

Open communication.

Knoepfel AG is very open towards its customers. The relationship with Otto Hofstetter AG is rather special, however, and not readily comparable with any other. The same competent specialists have been sitting together at the same table for years. They are colleagues and like to exchange views right from the start of a project. This also has a positive effect on economical issues.



Knoepfel AG

Gaismoos, 9428 Walzenhausen (Appenzell Ausserrhoden), Switzerland

Founded in 1962

Partner of Otto Hofstetter AG since 1977

Approximately 50 employees

www.knoepfel.ch



This concept of moving forwards together as partners is not only evident at management level, but also throughout the organisations. Both companies have much in common: a passion for quality, in the first place, and the ambition to improve steadily. This is no doubt the reason why Otto Hofstetter AG will continue to rely on the competence and dependability of Knoepfel AG for many years to come.



Stefan Zatti, Division Manager Sales & Marketing and member of the management.

"ANYONE WISHING TO BE SUCCESSFUL IN THE LONG TERM MUST BE ABLE TO RELY ON A PARTNER AT ALL TIMES."

We regard Knoepfel AG as a partner rather than a supplier. What holds us together are not only nearly 40 years of cooperation and numerous successful projects, but our striving for quality, precision and innovation. We speak the same language – also in a figurative sense – and hold each other in high esteem. In the course of a project, it may well be that the experts of Knoepfel AG assume the role of a sparring partner, but always in the interest of the matter at hand and to the advantage of the product.

It is not surprising, therefore, that we hardly ever need to talk about quality and precision. We always feel completely understood by our partner. Moreover, some optimisations of our moulds go back to the suggestions made by specialists of Knoepfel AG.

Just like us, our production partner developed steadily over the course of the many years. Ongoing investments in operations have kept its production at the cutting edge at all times. We are in safe hands, also in terms of our contacts at Knoepfel AG, who are all extremely competent and customer-oriented.

We are also in perfect harmony when it comes to reliability. Agreed deadlines are guaranteed and always met. This typically Swiss trait is worth its weight in gold to us, not least because the production times for our moulds have become ever shorter in recent years.

One thing is certain: anyone wishing to be successful in the long term must be able to rely on a partner who fully agrees with their own philosophy at all times. Knoepfel AG is such a partner. And we're immensely pleased about this.



TOTALLY SWISS.



Our injection-moulds for PET and PAC feature precise, long-lasting Swiss craftsmanship. www.otto-hofstetter.swiss

